



**U.S. Customs and
Border Protection**

Public Version

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**Committee Overseeing Action for Lumber
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Re: EAPA Consolidated Case No. 8199 – Notice of Determination as to Evasion

To the Counsel and Representatives of the Above-Referenced Entities:

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) Investigation 8199 (EAPA 8199), U.S. Customs and Border Protection (CBP) has determined there is substantial evidence that Coastal Specialty Forest Products, Inc., doing business as Coastal Forest Products, (hereinafter collectively referred to as Coastal Forest Products) evaded antidumping duty and countervailing duty (AD/CVD) orders on softwood lumber from Canada (case numbers A-122-857 and C-122-858).¹ CBP has determined that there is substantial evidence that Coastal Forest Products entered covered merchandise for consumption into the customs territory of the United States through evasion, by transshipping softwood lumber covered by the *Orders* into the United States through New Zealand. As a result, no cash deposits were applied to the merchandise at the time of entry. The basis for CBP's determination is explained below.

¹ See *Certain Softwood Lumber Products From Canada: Antidumping Duty Order and Partial Amended Final Determination*, 83 Fed. Reg. 350 (January 3, 2018) and *Certain Softwood Lumber Products From Canada: Amended Final Affirmative Countervailing Duty Determination and Countervailing Duty Order*, 83 Fed. Reg. 347 (January 3, 2018) (collectively, the *Orders*).

Background

Pursuant to 19 C.F.R. § 165.2, entries covered by an EAPA investigation are “those entries of allegedly covered merchandise made within one year before the receipt of an allegation[.]” “Entry” is defined as an “entry, or withdrawal from warehouse for consumption, of merchandise into the customs territory of the United States.”² On June 13, 2025, the Committee Overseeing Action for Lumber International Trade Investigations or Negotiations (the Alleger)³ filed EAPA allegation 8199. CBP acknowledged receipt of the properly filed allegation against Coastal Forest Products on June 26, 2025.⁴ Therefore, the entries covered by this investigation are those entered for consumption, or withdrawn from warehouse for consumption, from June 26, 2024, through the pendency of this investigation.⁵

On July 1, 2025, the Trade Remedy Law Enforcement Directorate (TRLED), within CBP’s Office of Trade, initiated this investigation under EAPA because the Allegation submitted by the Alleger concerning the evasion of AD/CVD duties by Coastal Forest Products provided information that reasonably suggested evasion.⁶ In the Allegation, the Alleger asserts that Coastal Forest Products evaded the *Orders* by importing softwood lumber originating from Canada into the United States *via* transshipment through New Zealand by failing to declare the correct country of origin (COO) at the time of entry.⁷ The Alleger provided industry reports showing that Western Red Cedar (*Thuja plicata*) is a softwood species of tree only grown in North America and that the Canadian company Western Forest Products mills and sells Western Red Cedar.⁸ Furthermore, commercial trade data reasonably available to the Alleger and submitted to CBP shows New Zealand company Herman Pacific Limited (Hermpac) imported Western Red Cedar into New Zealand from Western Forest Products in Canada.⁹ Finally, commercial trade data shows that U.S. importer Coastal Forest Products imported softwood lumber with cargo descriptions of “Western Red Cedar” from Hermpac into the United States and declared the merchandise as COO New Zealand.¹⁰

On September 29, 2025, CBP determined that there was reasonable suspicion that Coastal Forest Products entered covered merchandise into the United States through evasion by importing

² See 19 U.S.C. § 1517 (a)(4); *see also* 19 C.F.R. § 165.1.

³ See 8199 Letter from the Alleger, “§ 165.11 Allegation of Evasion of Antidumping and Countervailing Duties: Coastal Specialty Forest Products, Inc.,” dated June 13, 2025 (the Allegation) at 1-3. The alleger is a trade or business association in which a majority of the members manufacture, produce, or wholesale a domestic like product in the United States; thus, pursuant to 19 C.F.R. § 165.1(4), the alleger meets the definition of an interested party that is permitted to submit an EAPA allegation.

⁴ See the Allegation and email “EAPA 8199: Receipt of EAPA Allegations,” dated June 26, 2025.

⁵ See 19 C.F.R. § 165.2.

⁶ See Memorandum, “Initiation of Investigation for EAPA Case Number 8199,” dated July 1, 2025.

⁷ See the Allegation at 1 and 4-5.

⁸ *Id.* at 7-8, and Exhibits 3, 4, and 5.

⁹ *Id.* at 7-9 and Exhibits 3-7.

¹⁰ *Id.* at 9-11 and Exhibits 8-11.

Canadian softwood lumber transshipped through New Zealand while falsely declaring New Zealand as the COO.¹¹ As detailed in the Notice of Initiation of Investigation and Interim Measures (NOI), in response to CBP’s Customs Form 28 (CF-28) requests, Coastal Forest Products admitted that the manufacturer Hermpac informed Coastal Forest Products that “the western red cedar” it imports into the United States is first “imported to New Zealand from Canada.”¹² Coastal Forest Products reported that Hermpac imported sawn timber of Western Red Cedar from Canadian company [company name] into New Zealand.¹³ In Hermpac’s commercial invoices and New Zealand import documentation, the COO for these purchases of Western Red Cedar is labeled as Canada from Canadian company [company name].¹⁴ Canadian Forest Products described Hermpac’s production process as taking rough drawn lumber in a green (or un-dried) state to a dried, sawn-to-specific measurements and sanded for a beveled product.¹⁵ CBP found that record evidence—the CF-28 documents submitted by Coastal Forest Products detailing the type and origin of the wood and the product being imported and the Allegation’s trade data and information on the imported merchandise’s origin—established reasonable suspicion that Coastal Forest Products was evading the *Orders* by claiming that the Canadian-origin merchandise had a COO of New Zealand and declaring the covered merchandise as “Type 01” entries, thereby evading the payment of the *Orders*’ duties.¹⁶ Therefore, CBP imposed interim measures pursuant to this investigation.¹⁷

Since the NOI, CBP issued Requests for Information (RFI) to Coastal Forest Products and New Zealand supplier Hermpac, pursuant to 19 C.F.R. § 165.23(a).¹⁸ Both responded to the RFIs in a timely manner.¹⁹ On December 18, 2025, CBP issued supplemental RFIs (SRFI) to Coastal Forest Products and New Zealand Supplier Hermpac and received timely responses.²⁰ The voluntary factual information deadline date was January 20, 2026, and the *Alleger* and Coastal

¹¹ See CBP’s determination, “Notice of Initiation of Investigation and Interim Measures - EAPA Case 8199,” dated September 30, 2025 (NOI).

¹² See CF-28 request for Entry 2091 and Entry 3716, dated July 22, 2025 (collectively, Coastal Forest Products’ CF-28 Requests) and Coastal Forest Products’ Entry 2091 and Entry 3716 CF-28 responses, dated August 20, 2025 (collectively, Coastal Forest Products’ CF-28 Responses) at 4.

¹³ *Id.* at 5 and Exhibits 1 and 2.

¹⁴ *Id.*

¹⁵ *Id.* at 6-9 and Exhibits 4-13.

¹⁶ See NOI for further explanation of the finding of reasonable suspicion.

¹⁷ *Id.*; see 19 U.S.C. § 1517(e); see also 19 C.F.R. § 165.24.

¹⁸ See CBP’s Letters to Coastal Forest Products and Hermpac, “EAPA 8199 Request for Information,” dated October 15, 2025.

¹⁹ See Coastal Forest Products and Hermpac’s RFI responses, dated November 18 and 21, 2025, respectively. See also, Memos to the file, “Herman Pacific First RFI Extension Memo,” “Coastal Specialty Forest Products First RFI Extension Memo,” “Grants Extension,” “Grants Partial Extension to Hermpac,” and “Grants Extension to Hermpac,” dated October 20 and 28, November 6, 10, and 17, 2025, respectively.

²⁰ See CBP’s Letters to Coastal Forest Products and Hermpac, “EAPA 8199 Supplemental Request for Information,” dated December 18, 2025, and Coastal Forest Products and Hermpac’s SRFI responses, dated January 8 and 6, 2025, respectively. See also, Memos to the file, “First Importer SRFI Extension” and “First Manufacturer SRFI Extension,” dated December 23, 2025.

Forest Products both submitted timely new factual information.²¹ CBP officials conducted a verification in New Zealand at Hermpac’s main office on January 22, January 23, and January 28, 2026, and at the production facility on January 27, 2026.²² The Written Arguments deadline was April 7, 2026, with the Responses to Written Arguments due on April 22, 2026.²³ On April 7, 2026, the Alleger and Coastal Forest Products submitted Written Arguments.²⁴ The Alleger and Coastal Forest Products submitted rebuttal written arguments on April 22, 2026.²⁵

Analysis

Under 19 U.S.C. § 1517(c)(1)(A), to reach a determination as to evasion, CBP must “make a determination, based on substantial evidence, with respect to whether such covered merchandise was entered into the customs territory of the United States through evasion.”²⁶ “Evasion” is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise.”²⁷ The term “covered merchandise” is defined as “merchandise that is subject to a CVD order . . . and/or an AD order”²⁸ As discussed below, substantial evidence on the record of this investigation indicates that Coastal Forest Products entered merchandise covered by the *Orders* through evasion.

From January 22-28, 2026, CBP officials conducted a verification in New Zealand at Hermpac’s facilities.²⁹ While on verification, CBP officials interviewed Hermpac company officials about the company’s operations; toured the plant facilities and offices; and reviewed original records to verify the on-the-record responses.³⁰ CBP officials confirmed that Hermpac only uses Canadian-origin Western Red Cedar for its exports to Coastal Forest Products.³¹ Specifically, Hermpac

²¹ See Alleger’s submission titled, “Rebuttal to Hermpac RFI Response” and “Reply to Coastal Forest Products Response,” dated December 1, 2025. See also, Coastal Forest Products’ submission titled, “Submission of Response to Alleger’s Comments,” dated December 23, 2025 (public version dated January 6, 2026).

²² See CBP Memorandum, “On-Site Verification Report,” dated March 20, 2026 (Verification Report).

²³ See Memos to the File “Suspension of Written Arguments Deadline,” “Written Arguments Deadline,” and “Extend Written Argument Deadline,” dated January 13, March 24, and April 2, 2026, respectively.

²⁴ See Alleger’s and Coastal Forest Products’ submissions titled, “Written Argument,” dated April 7, 2026 (Alleger’s Written Arguments and Coastal Forest Products’ Written Arguments, respectively).

²⁵ See Coastal Forest Products’ submission, “EAPA Case Number 8199: Submission of Coastal Specialty Forest Products’ Response to Written Arguments,” dated April 22, 2026 (Coastal Forest Products’ Rebuttal Arguments), and the Alleger’s submission, “EAPA Case No. 8199: Submission of Response to Written Arguments,” dated April 22, 2026 (the Alleger’s Rebuttal Arguments).

²⁶ See also 19 C.F.R. § 165.27(a) (implementing 19 U.S.C. § 1517(c)(1)(A)).

²⁷ 19 C.F.R. § 165.1.

²⁸ *Id.*

²⁹ See Verification Report.

³⁰ *Id.*

³¹ *Id.* at 4.

imports dimensioned (or mostly-squared and not in log form) Canadian Western Red Cedar in random lengths, widths, and thicknesses, categorized into three “buckets”: 1) [description of product

] 2)

[description of product

] and 3) [description of product

].³² CBP officials visually inspected samples of Hermpac’s onsite Canadian-origin Western Red Cedar (*see* attachment 1 at photograph 11, 15 and 18). CBP confirmed that the Canadian-origin Western Red Cedar onsite at Hermpac’s facilities met the definition of softwood lumber, exceeding 6 millimeters, as described by the scope of the *Orders*.

CBP officials also confirmed that Hermpac’s processing steps aligned with documentation submitted during the investigation.³³ In Hermpac’s SRFI response, Hermpac described its operations as a “secondary manufacturer” and said that it performs “downstream processing including resawing and optimization.”³⁴ CBP’s verification revealed that Hermpac’s operations for Coastal Forest Products imports constituted limited finishing steps, with substantial reliance on Canadian-origin Western Red Cedar. Specifically, during the verification, CBP officials observed 11 operational steps (outlined in the verification report) at Hermpac’s facilities.³⁵

The following processing steps were identified by CBP and assessed to not remove the Canadian-origin softwood from the scope of the *Orders*:

- Steps 1-4 and 6 (labeled as [description of process] in the verification report): These steps pertain to the import and inventory tracking of Western Red Cedar from Canada to Hermpac’s New Zealand facilities and then to drying the lumber. These steps are initial processing steps and would not take the lumber out of scope of the *Orders*, because these steps do not constitute “sufficient processing” that would render the merchandise “no longer...intermediate products.”³⁶ In fact, most of these steps do not physically alter the wood at all apart from drying.
- Step 5 (labeled as [description of process] in the verification report): This step focuses on cutting the [product name] lumber into preferred sizes. CBP notes that the scope of the *Orders* includes “sawn” lumber; therefore, the Step 5 process does not remove the products from being covered merchandise.³⁷
- Steps 7 and 8 (labeled as [product description]): For [product description], Hermpac [process of machine equipment] and [process of machine equipment

³² *Id.* at 4.

³³ *Id.* at 6-8.

³⁴ *See* Hermpac’s SRFI Response at 4-5.

³⁵ *See* Verification Report at 6-8.

³⁶ *Id.*; the *Orders* at Appendix, Scope of the Order.

³⁷ *Id.*

].³⁸ These pieces are then cut along the short edge for [machine process] and [machine process].³⁹ These steps do not occur for all of Hermpac's exports.⁴⁰ CBP notes that the [machine process] process is another cutting processing step and as previously described "sawn" lumber is included in the scope of the *Orders*.⁴¹ CBP also notes that the scope of the *Orders* explicitly covers lumber "[product description]."⁴² CBP further notes that the [process description] as described by Hermpac in this process step is specific to the [process description] process, which is covered by the scope as explained above.⁴³

- Step 9 (labeled as [machine process] in the verification report): This step refers to Hermpac [step process] the sawn boards for an [product description], which can include [machine process of product] the board. As previously described, "sawn" lumber is included in the scope of the *Orders*. CBP further notes that the processes in Step 9 [verbiage of process] of the *Orders*, which includes softwood lumber "whether or not planed," "whether or not sanded," wood that has been "tongued, grooved, rebated, chamfered, V-jointed, beaded, molded, and rounded," and "drilled and notched lumber and angle cut lumber."⁴⁴ While Hermpac is capable of creating complicated [product description], CBP officials confirmed at the verification that Hermpac did not do this for Coastal Forest Product imports.⁴⁵ CBP verified that Hermpac produced [product description] lumber for Coastal Forest Products, as indicated in the RFI and SRFI responses.⁴⁶ Therefore, the additional [machine process] in Step 9 does not remove the product from being covered merchandise.
- Step 10 (labeled as [description]) in the verification report): Hermpac confirmed that merchandise for Coastal Forest Products does not undergo this step.⁴⁷
- Step 11 (labeled as [description] in the verification report): This step includes [process of product] to the final product and is not a process that removes

³⁸ See Verification Report at 6-8.

³⁹ *Id.*

⁴⁰ *Id.*

⁴¹ *Orders* at Appendix, Scope of the Order.

⁴² *Id.*

⁴³ Verification Report at 6-8.

⁴⁴ *Id.*; *Orders* at Appendix, Scope of the Order.

⁴⁵ See Verification Report 6-8.

⁴⁶ See Verification Report at 6-8 and Exhibit 1 at 51-54 and Exhibit 2-B at 1-8. CBP notes that Coastal Forest Products' entry documentation also refers to its imports of softwood lumber as [product description] shapes, indicating that Coastal Forest Products does not import complex profiling products. See also, Coastal Forest Products' CF-28 Responses, citing entry documents for [#]2091 and [#]3716, and Coastal Forest Products' RFI Response at Exhibit 22, citing entry documentation for entries [#]1028, [#]7751, [#]2091, [#]4997, [#]6603, [#]8138, [#]3716, and [#]0562.

⁴⁷ See Verification Report at 6-8.

merchandise from the scope of the *Orders* because this does not physically alter the merchandise itself.⁴⁸

At the verification, CBP confirmed that the products for export by Hermpac destined for Coastal Forest Products are classified as covered merchandise (*i.e.* softwood lumber and softwood lumber siding greater than 6 millimeters) for the purposes of administering the *Orders*.⁴⁹ As a result, these products that Coastal Forest Products' imports remain covered merchandise for the purposes of administering the *Orders* even if they are further processed in a third country (*see* attachment 1 at photograph 42 and 43).⁵⁰

Written Arguments

On April 7, 2026, the Alleger and Coastal Forest Products submitted Written Arguments,⁵¹ and the Alleger and Coastal Forest Products submitted rebuttal written arguments on April 22, 2026.⁵² A summary of their arguments follows:

Importer

Coastal Forest Products contends that the imported softwood lumber products are not covered merchandise because the Canadian-origin softwood lumber underwent a “substantial transformation” in New Zealand via Hermpac’s “secondary manufacturing” process, such that New Zealand is the COO of the imported softwood lumber.⁵³ Coastal Forest Products argues that for imports to be covered by the scope, the merchandise must meet both product description and country requirements specified by the *Orders* to apply. Coastal Forest Products asserts that because Hermpac substantially transforms the Western Red Cedar, the COO for Coastal Forest products imports is New Zealand; therefore, the *Orders* do not apply.⁵⁴ Coastal Forest Products also argues that the exclusion (written into the scope of the *Orders*) for “U.S. origin lumber shipped to Canada for processing and imported into the United States if the processing occurring in Canada is limited to one or more of the following: (1) Kiln drying; (2) planing to create smooth-to-size board; or (3) sanding” validates that the processes performed by Hermpac in New Zealand are considered substantial transformation.⁵⁵

Coastal Forest Products contends that previous CBP rulings, specifically Customs Rulings L85271 and N301686, determined that the COO of processed wood should be the country in

⁴⁸ *Id.*

⁴⁹ CBP notes that the scope of the *Orders* includes “Coniferous wood siding,” which matches the description of Coastal Forest Products imports of Hermpac’s finger jointed and beveled products. *See* Verification Report at 6-8 and Appendix III and *Orders* at Appendix, Scope of the Order.

⁵⁰ *See* Verification Report at 6-8 and Appendix III.

⁵¹ *See* Alleger’s and Coastal Forest Products’ Written Arguments.

⁵² *See* Coastal Forest Products’ and the Alleger’s Rebuttal Arguments.

⁵³ *See* Coastal Forest Products’ Written Arguments at 17-24 and Rebuttal Written Arguments at 10-14.

⁵⁴ *See* Coastal Forest Products’ Rebuttal Written Arguments at 7-9.

⁵⁵ *See* Coastal Forest Products’ Written Arguments at 15 and Rebuttal Written Arguments at 15-16.

which the wood is further processed, not the country in which the lumber is grown.⁵⁶ Additionally, Coastal Forest Products contends that CBP should find that Coastal Forest Products' "imports of edge-glued merchandise did not evade the *Orders*" due to the scope language excluding finished products.⁵⁷ Coastal Forest Products cites a previous Department of Commerce (DOC) scope ruling that determined that "edge-glued products are finished products excluded from the scope of the *Orders*."⁵⁸ Coastal Forest Products argues that "edge-glued products from Hermpac for its ELITE brand" should be excluded from the scope and not subject to the *Orders*.⁵⁹ Coastal Forest Products also contends that CBP can only "administer" the scope of the *Orders* and "has no role in clarifying or interpreting the scope language."⁶⁰

Alleger

The Alleger argues that "substantial evidence indicates that Coastal Forest Products imported Canadian-origin Western Red Cedar softwood lumber products that were transshipped through New Zealand."⁶¹ The Alleger argues that a substantial transformation analysis is not needed in this investigation because CBP can reach a covered merchandise determination using its independent authority.⁶² The Alleger contends that the COO for Coastal Forest Products is properly classified as COO Canada.⁶³

The Alleger disputes that previous CBP rulings apply to this EAPA investigation because the CBP rulings were meant for marking requirements and not for assigning the COO for the *Orders*.⁶⁴ The Alleger claims the scope of the *Orders* and previous DOC scope rulings indicate that Coastal Forest Products' imports are covered merchandise under the scope.⁶⁵ The Alleger contends that "Canadian-origin Western Red Cedar softwood lumber products, whether sawn with an actual thickness exceeding six millimeters or processed into siding" are subject to the *Orders*.⁶⁶ The Alleger cites to DOC scope rulings that interpret the scope of the *Orders* to include "lumber made from Western Red Cedar standing timber" and "re-sawn siding products, including those with 'high visual' appearance qualities."⁶⁷ The Alleger contends that the scope

⁵⁶ See Coastal Forest Products' Written Arguments at 25-26.

⁵⁷ See Coastal Forest Products' Written Arguments at 27-28, citing Coastal Forest Products' RFI response at Exhibit 17.

⁵⁸ *Id.* at 28. See also, DOC's "Notice of Scope Findings," 84 Fed Reg. 86577, July 29, 2019.

⁵⁹ See Coastal Forest Products' Written Arguments at 27-28, citing Coastal Forest Products' RFI response at Exhibit 17.

⁶⁰ See Coastal Forest Products' Written Arguments at 27.

⁶¹ See Alleger's Written Arguments at 8-21.

⁶² See the Alleger's Rebuttal Arguments at 11.

⁶³ *Id.* at 14-18.

⁶⁴ See the Alleger's Rebuttal Arguments at 11-13.

⁶⁵ *Id.*

⁶⁶ *Id.* at 11.

⁶⁷ *Id.* at 11-13, citing *Certain Softwood Lumber Products from Canada: Final Affirmative Determination of Sales at Less Than Fair Value and Affirmative Final Determination of Critical Circumstances*, 82 Fed. Reg. 51,806 (DOC Nov. 8, 2017), and accompanying IDM at Comment 2 (determining that lumber made from Western Red Cedar is "covered by the scope" of the order) and *Certain Softwood Lumber Products from Canada: Preliminary Affirmative*

lists “assembled pallets; cutting boards; assembled picture frames; {and} garage doors” as being finished products that are excluded.⁶⁸ The Alleger further contends that the scope specifically includes siding as covered merchandise, which was confirmed by DOC as being in-scope.⁶⁹ With respect to the U.S.-origin lumber exclusion language, the Alleger contends that the exclusion only applies to U.S.-origin lumber processed in Canada and that this exclusion shows that the *Orders* “are focused on where the lumber product is harvested and undergoes primary breakdown and sawing.”⁷⁰ Overall, the Alleger asserts that New Zealand supplier Hermpac is importing Canadian-origin Western Red Cedar and processing softwood lumber for export to Coastal Forest Products; therefore, the imports should be considered in-scope merchandise.⁷¹

Additionally, the Alleger discusses the differences between edge-glued lumber and end-glued or finger-jointed lumber products.⁷² Specifically, the Alleger states that “edge-glued lumber is glued edge-to-edge to form a wider piece of material, end-glued or finger-jointed lumber is joined end-to-end to form a longer piece of material.” The Alleger argues that Hermpac’s RFI response indicates that it has [#] product that underwent [description] and that Hermpac describes the process as [machine process of product].

⁷³ The Alleger also argues that Coastal Forest Products has not provided enough information for the record to permit CBP to determine if a particular shipment was edge-glued lumber products.⁷⁴ The Alleger contends that the product codes used in Coastal Forest Products’ purchasing documentation do not provide consistent information to determine if imports are edge-glued at the time of entry.⁷⁵

CBP’s Position

The argument by Coastal Forest Products that its merchandise underwent “substantial transformation” in New Zealand is unavailing under EAPA. CBP agrees that the merchandise imported by Coastal Forest Products meets the definition of covered merchandise (*i.e.* unfinished Canadian-origin softwood lumber with thickness greater than 6 millimeters) as outlined by the scope of the *Orders* despite further processing in New Zealand. With the exception of edge-glued products (discussed below), CBP notes that neither party to the investigation has provided arguments that Coastal Forest Products’ imports do not meet the product descriptions under the scope of the *Orders*. CBP’s role in enforcing the *Orders* is to identify the imports that meet the

Determination of Sales at Less Than Fair Value, 82 Fed. Reg. 29,833 (DOC June 30, 2017), and accompanying Preliminary Scope Decision Memorandum at Comment 20, *unchanged in final*.

⁶⁸ *Id.* at 8.

⁶⁹ *Id.* at 8-9, citing DOC’s “Notice of Scope Findings,” 84 Fed. Reg. 86577, July 29, 2019 (Nov. 8, 2017), and accompanying IDM at Comment 4 (citing preliminary scope memorandum).

⁷⁰ *Id.* at 5-6.

⁷¹ *Id.*

⁷² *Id.* at 18-21

⁷³ *Id.* at 19, citing Hermpac’s RFI response at 38 and 54-55.

⁷⁴ *Id.* at 18-21.

⁷⁵ *Id.* at 19-21.

description of the scope of the *Orders*. During the course of the investigation, and as discussed above, CBP officials verified supplier Hermpac's raw materials and processes. CBP officials confirmed that the softwood lumber purchased for further processing at Hermpac's facilities met the definition of covered merchandise per the scope of the *Orders*. Further, CBP officials confirmed at verification that none of Hermpac's production processes, as applied to the softwood lumber imports at issue, removed the imports from the scope of the *Orders*. With respect to meeting both the product description and the subject country requirements set forth by the *Orders*, CBP also notes that, at the time of importation when Coastal Forest Products represented to CBP that the wood it was importing was COO New Zealand, Coastal Forest Products reported that the COO for the lumber it was importing was Canada on its U.S. Department of Agriculture (USDA) Plant and Plant Product Declaration Forms.⁷⁶

Regarding Customs Rulings L85271 and N301686, CBP notes these rulings are based on specific facts about specific transactions.⁷⁷ Neither cited Customs Ruling applies to Coastal Forest Products' imports or to Western Red Cedar grown in Canada and processed in New Zealand. Written decisions regarding the scope of AD/CVD orders are issued by DOC and are separate from tariff classification and origin rulings issued by CBP. CBP notes that neither party to the investigation provided a DOC scope ruling that applies to Western Red Cedar grown in Canada and processed in a third country.

With respect to edge-gluing, Coastal Forest Products has not provided sufficient information to determine which, if any, entries it imported from Hermpac contained the type of edge-glued products that it argues may have taken the merchandise out of the scope of the *Orders*. At verification, CBP only observed [product description] related to [product description], and these products remain in scope.⁷⁸ Hermpac officials also did not mention at verification that the company sold [description of products distributed] to Coastal Forest Products during the POI. In its Written Arguments, Coastal Forest Products referenced its own sales brochure (intended for its customers) without any COO information that it claimed showed its products were edge-glued but did not reference a specific entry or sale of edge-glued products from Hermpac to Coastal Forest Products.⁷⁹ In fact, the Coastal Forest Products' sales brochure only lists "end-glued" products and not "edge-glued" products.⁸⁰ Further, CBP notes that under

⁷⁶ See e.g. Coastal Forest Products' CF-28 Responses, citing entry documents for [#]2091 and [#]3716, and Coastal Forest Products' RFI Response at Exhibit 22, citing entry documentation for entries [#]1028, [#]7751, [#]2091, [#]4997, [#]6603, [#]8138, [#]3716, and [#]0562.

⁷⁷ Accordingly, no person, other than to whom the ruling letter is addressed, "should rely on the ruling letter or assume that the principles of that ruling will be applied in connection with any transaction other than the one described in the letter." 19 C.F.R. § 177.9(c).

⁷⁸ See Verification Report at 6-8 and Appendix III and *Orders* at Appendix, Scope of the Order.

⁷⁹ See Coastal Forest Products' Written Arguments at 27-28, citing Coastal Forest Products' RFI response at Exhibit 17.

⁸⁰ *Id.*

19 U.S.C. § 1484, it is the importer of record's responsibility to use reasonable care when entering and classifying imports and that it is Coastal Forest Products' responsibility to provide product information for CBP to determine if an import qualifies for an exclusion to the *Orders*. Coastal Forest Products did not provide such information through the course of this investigation, despite multiple opportunities to do so.

Finally, CBP disagrees that the DOC Primelock Scope Ruling applies to Coastal Forest Products' imports of ELITE brand products.⁸¹ The DOC Primelock Scope Ruling specifically states that the ruling applied to Produits Matra, Inc's Primelock-branded merchandise, not Coastal Forest Products' ELITE branded products.⁸² Coastal Forest Products failed to provide information on why ELITE branded products meet the description of Produits Matra, Inc's Primelock-branded merchandise. Without record evidence that both brands have the same physical characteristics and underwent the same processing, CBP cannot determine the relevance of a scope ruling that a certain process makes one product a "finished product. CBP also notes that importers have the opportunity to request a DOC Scope Ruling for their specific imports and that Coastal Forest Imports did not provide a DOC Scope Ruling specific to Coastal Forest Products.

Determination as to Evasion

The evidence on the administrative record establishes that there is substantial evidence that Coastal Forest Products entered merchandise covered by AD order A-122-857 and CVD order C-122-858 on softwood lumber from Canada into the United States without declaring it as subject to the *Orders* and paying the requisite AD/CVD duties.⁸³ Therefore, CBP determines that Coastal Forest Products evaded the *Orders*.

Actions Taken Pursuant to the Affirmative Determinations of Evasion

In light of CBP's determination that Coastal Forest Products entered merchandise into the customs territory of the United States through evasion, and pursuant to 19 U.S.C. § 1517(d) and 19 C.F.R. § 165.28, CBP will suspend or continue to suspend the liquidation for all entries imported by Coastal Forest Products that are subject to EAPA investigation 8199, and continue suspension until instructed to liquidate these entries. For those entries previously extended in accordance with the interim measures, CBP will rate adjust and change those entries to type 03 and continue suspension until instructed to liquidate these entries. CBP will also evaluate Coastal Forest Products' continuous bonds in accordance with CBP's policies and may require

⁸¹ See Coastal Forest Products' Written Arguments at 27-28 and DOC's "Notice of Scope Findings," 84 Fed Reg. 86577, July 29, 2019.

⁸² *Id.*

⁸³ Coastal Forest Products' entries are subject to the Western Forest Products (A-122-857-246 and C-122-858-243) rate under the *Orders* for its imports of Western Red Cedar from Hermpac, unless production documents on this investigation's record provide evidence of a different Canadian supplier.

single transaction bonds as appropriate. None of the above actions preclude CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,

A handwritten signature in blue ink, appearing to read "Victoria Cho".

Victoria Cho
Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
Office of Trade

Attachment 1: Verification Photographs

Source: Verification Report at Appendix III: Verification Photographs

Photograph 11- Devanned Container Load of Canadian Western Red Cedar from Western Forest Products

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[photo](#)

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Photograph 15 – Filleting of Canadian Western Red Cedar

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[photo](#)

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Photograph 18 – Filleted/Divided Canadian Western Red Cedar Drying in Yard

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[photo](#)

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Photo 42 – Packaging WRC bundle

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[photo](#)

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Photo 43 – Packaging of WRC for CFP

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photo

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